

The Weekend Strategy

A systematic way to make money on your days off.



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Exclusively For Predicting Alpha Annual Members

Because you guys rock 🤘

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Strategy Introduction + Overview

What is the Weekend Strategy?

The strategy is simple: You can make money by selling options on Friday that expire on Monday.

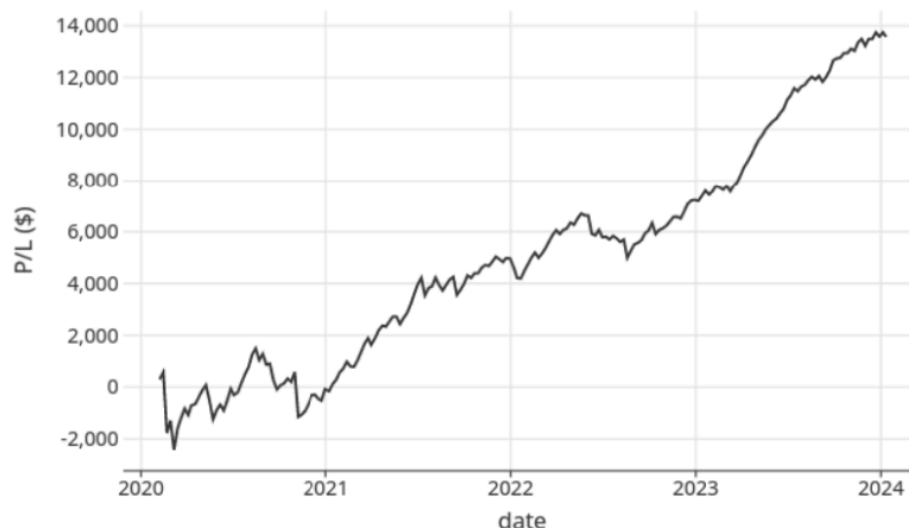
Why Does This Strategy Make Money?

Over the weekend, the market is closed. If something significant happens during this time, market participants cannot exit or hedge their positions until the market reopens on Monday. This two-day gap is the longest period in a typical trading week without an opportunity to adjust positions.

For this reason, many market participants hedge their risk going into the weekend. We can capture a substantial premium by selling options and providing this risk protection. These protective options become overpriced before the weekend, and their value quickly diminishes once the market reopens and the risk passes.

Strategy Performance Snapshot

Here is a backtest of what running this strategy on \$SPY has looked like from 2020-2024. It assumes \$1,000 notional premium, entering 5min before close and exiting 5min after open. No cost assumptions.



As you can see, the performance is phenomenal, showcasing the existence and persistence of the risk premium we aim to capture through this strategy.

What's The Trade?

On Friday at market close, we sell at-the-money straddles on the major ETFs that have a Monday expiration available. That's it!

Which Tickers Should You Start With?

- **SPY**: S&P 500 ETF
- **QQQ**: Nasdaq 100 ETF
- **USO**: Crude Oil ETF
- **GLD**: Gold ETF
- **IWM**: Russell 2000 ETF

These ETFs each exhibit variance risk premium, provide a diverse set of market exposures and are highly liquid, making them ideal for weekend premium-selling strategies.

Is This Strategy Different from Other Premium Collection Strategies?

Yes. While this strategy can be paired with other premium-selling approaches like the ETF Premium Strategy, it operates on a different time frame and risk exposure. It helps us use our margin more efficiently because we do not have many strategies that require holding trades over the weekend (Earnings trades almost exclusively take place during the week, for example).

Under What Market Conditions Do We Trade This Strategy?

This strategy is traded under market conditions similar to those of the ETF Premium Strategy. We systematically place trades every weekend, only avoiding weekend trades during times of extreme market stress or panic. A basic "panic" signal you can track is:

- **VIX** spiking above 40.

When we consider placing a weekend trade and see that the VIX is above 40, we do not place the trade. Using this filter has helped to avoid some of the larger drawdowns in the past.

Is There Any Benefit to Diversifying Across ETFs?

Yes. While markets may be correlated in the long run, small differences in the opening prices of ETFs like SPY, QQQ, and IWM can create diversification benefits. By trading multiple ETFs, you can reduce the overall correlation of outcomes and spread your risk.

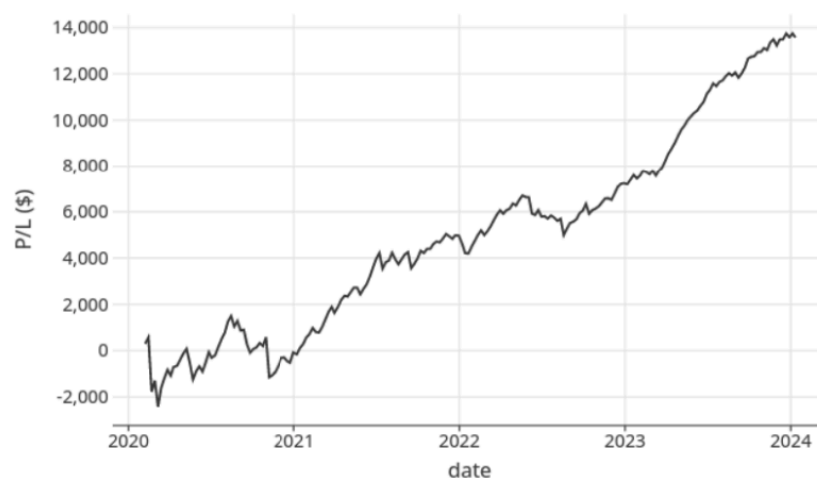
For instance, trades on QQQ and SPY may behave differently due to their unique underlying components, especially during earnings season or market-moving news that impacts one index more than the other.

Now that we have covered the basics of this strategy, let's analyze its historical performance so we can get an idea of what our return profile should look like.

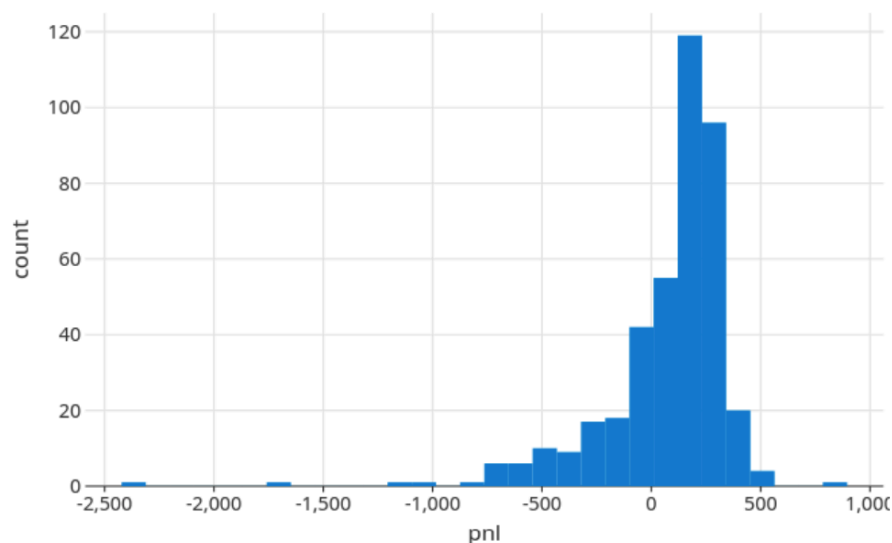
Strategy Returns & Performance Analysis

Backtest Performance - Weekend Strategy

The first thing I need to say is that the purpose of these simulations is to indicate whether there is or isn't an edge in the trade, not so much as the exact amount of money it will earn. We are trying to prove that the “weekend risk premium” exists, and by running these tests, we can get an idea of whether it does and what the risk profile around it looks like. To start off, here is a simulation of how selling straddles on SPY every weekend from 2020 - 2024 performed if we assume a fixed premium of \$1,000 traded each time.



Here is the strategy's return distribution. This is in line with what we would expect to see for option selling strategies: a skewed distribution in which the highest frequency of winners is positive, but the largest losers are on the downside.



It's important to note that this distribution is what results in the backtest above. The returns generated from the frequent small winners outweigh the losses incurred from the occasional larger losers. This is a typical risk profile for an option selling strategy and plays an important role in our position sizing and risk management, which we will discuss in a later section.

Impact of Filtering Trades When VIX > 40

In the introduction, we mentioned that we avoid placing weekend trades when the market is panicked. To showcase the impact of avoiding trades under these conditions, here is a comparison of trade performance if you took all of the trades on SPX against if you only placed trades when the VIX is under 40.

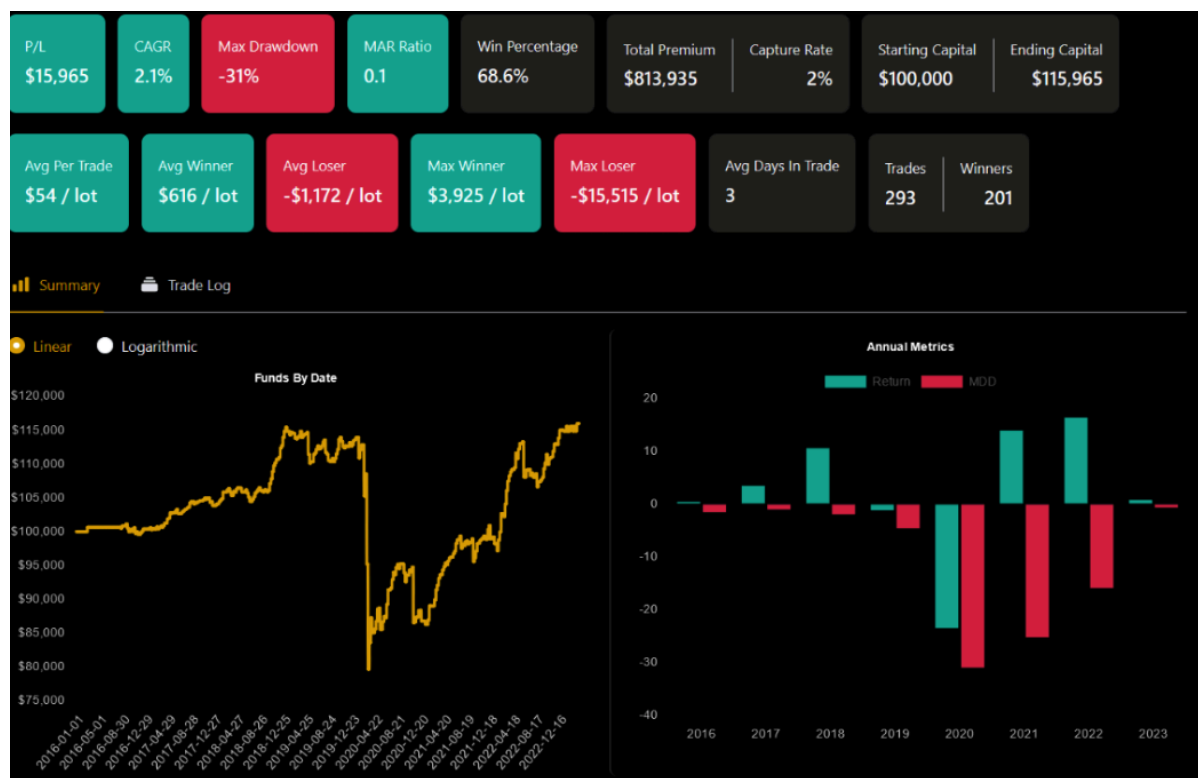
Remember that this simulation is to identify whether removing trades placed during high market volatility has improved returns and reduced variance, not to directly show what future returns will be. Remember that backtesting involves all sorts of assumptions.

Simulation assumptions:

For the simulations below we assume that we have a \$100,000 portfolio and allocate 20% to the strategy. We enter the weekend trades on Friday at 3:55PM and exit the following Monday at 9:32AM. The ticker we are trading is SPX.

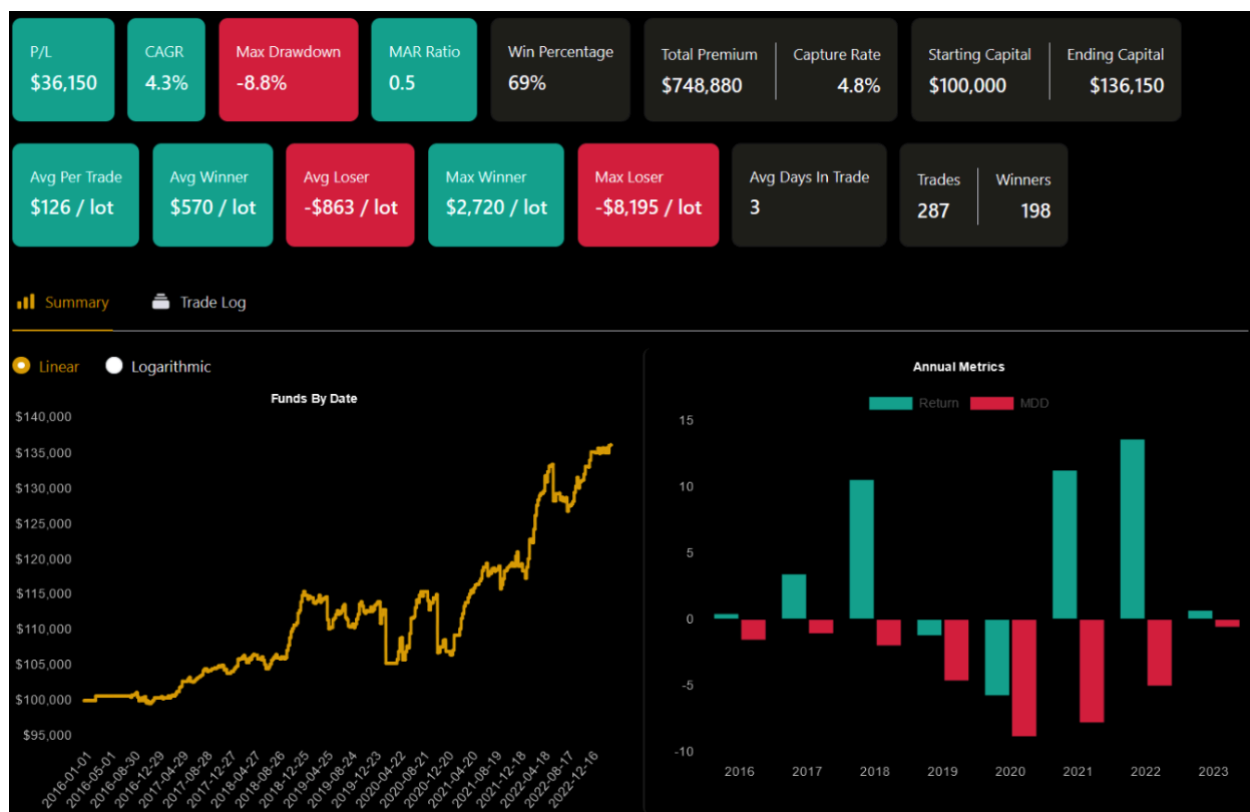
Simulation #1: Strategy Performance, No Filters.

A couple of key metrics to point out are that the total PnL was \$15,965, the max drawdown was \$15,515, and 293 trades were placed.



Simulation #2: Strategy Performance, Filter Trades When VIX > 40.

A couple of key metrics to point out are that the total PnL was \$36,150, the max drawdown was \$8,195, and 287 trades were placed.



Interpretation of the results:

The two backtests above differ only by 6 trades. Yet that was enough to result in a roughly \$15,000 return difference and about a 50% smaller drawdown.

One reason this may be the case is that when markets move into a panic, it does not usually resolve overnight. Bear markets typically occur over a period of time, and so in the second backtest, if the VIX spikes massively (the panic starts), we are exiting the strategy early into the potential high volatility regime.

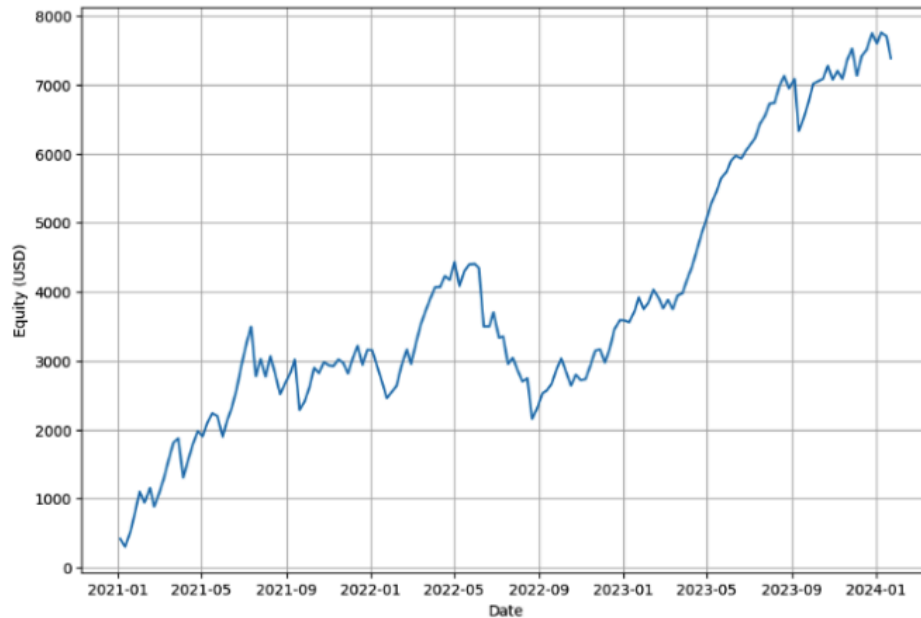
Of course, there will be times when there is a spike and then things return to normal, but we believe it is worthwhile to miss those opportunities to avoid the times when things continue to get worse. You can see that this did happen sometimes in the backtests, too, because the max winner in backtest 1 was \$3,925, and in backtest 2, it was \$2,720.

Diversification Study: Comparing SPY, QQQ, IWM

The final analysis we will review in this section concerns the value of diversification. Below are three performance backtests for the weekend strategy: one for SPY, QQQ, and IWM, respectively.

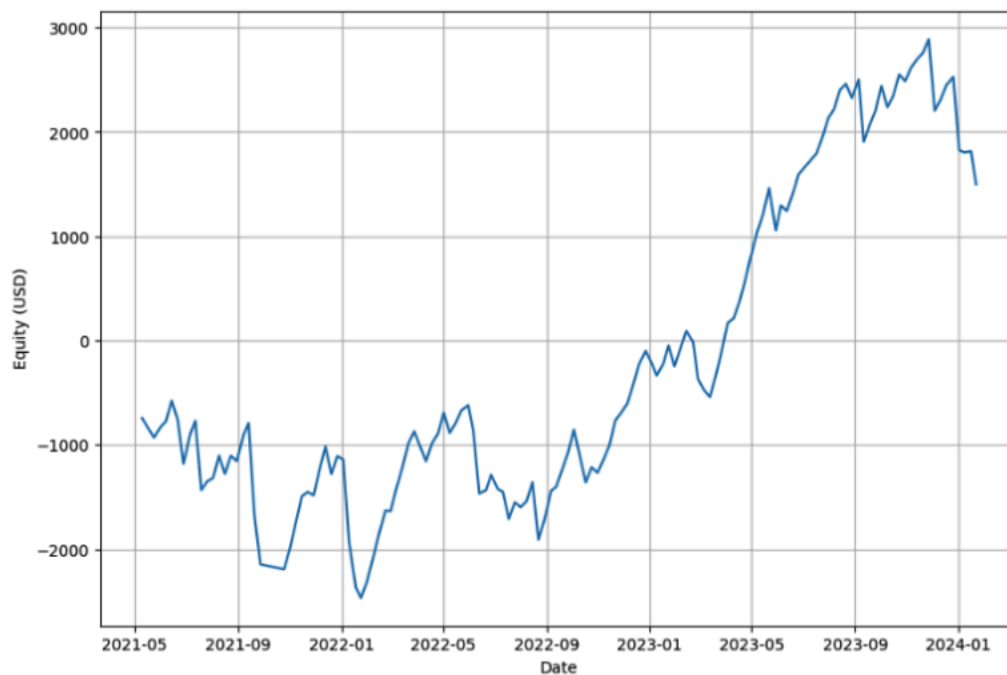
Symbol: SPY

Sharpe: 1.43



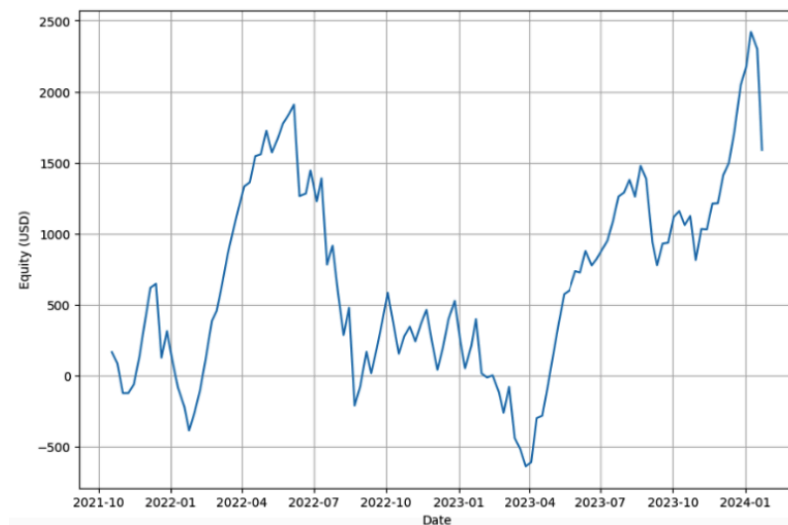
Symbol: QQQ

Sharpe: 0.31



Symbol: IWM

Sharpe: 0.45



Interpretation of the results:

As you can see, the general shape of each backtest is similar, but they are not the same. This is because the general market regime impacts each of the tickers. Still, the close and open prices can differ on any individual week, resulting in significantly different trade outcomes for each. This is the value of diversification for the weekend strategy. There will be many situations under general market conditions where holding multiple ETFs will result in a smoother performance rather than concentrating your portfolio into fewer positions.

That concludes our analysis of the strategy's performance. Now that we have some idea of its returns and risks, let's discuss how to find trades for it.

How to Run The Strategy

How To Find Trades For This Strategy

Something really important to remember is that this strategy's edge is “Liquidity risk over the weekend.” That is the reason we are getting paid. So, when it comes to finding the best trades to take for this strategy, we want to be sure not to overcomplicate things. If we try to get too fancy, we run the risk of getting in our own way and messing things up.

Fundamentally, we just want to trade a basket of liquid ETFs that give us different market exposures.

By sticking to the big ETFs, we can trade them confidently, knowing that:

1. They have a variance risk premium
2. They are liquid enough to get in and out of the trades
3. They have a Monday expiration available for us to sell.

Core Set of Tickers We Trade:

- **SPY**: S&P 500 ETF
- **QQQ**: Nasdaq 100 ETF
- **USO**: Crude Oil ETF
- **GLD**: Gold ETF
- **IWM**: Russell 2000 ETF

These ETFs represent a diverse set of market exposures and provide consistent liquidity for the weekend strategy.

Is there any benefit in diversifying across more ETFs for this strategy?

Yes, there is a huge benefit. While markets are correlated in the long run, small differences in opening prices and leverage effects cause individual trades to behave less similarly. Diversifying across more ETFs helps reduce the risk of unfavorable price moves in any single ETF and improves overall performance consistency.

Keep in mind that you want the tickers to meet the criteria discussed above—positive VRP, ample liquidity, and ideally a Monday expiration. You can start with the ETF Premium Scanner list in the Predicting Alpha Terminal and select the ones that meet your liquidity requirements and have a Monday expiration (just check the option chain).

What if I have a smaller account, and I can't place trades on the whole basket?

Start with one ticker and expand as you contribute more to your account. If you need to reduce the size of each trade, you can trade a “half straddle” by selling a call and buying 50 shares.

What if I want to trade a ticker that does not have a Monday expiration?

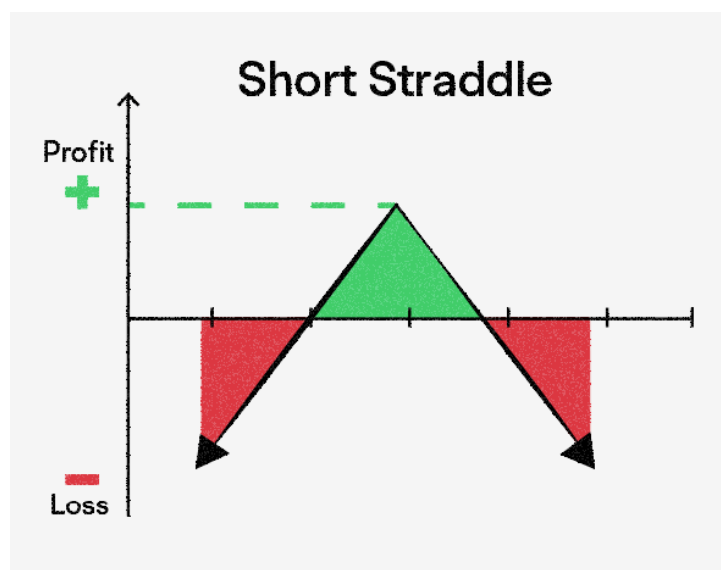
You can do it. This trade works regardless of the expiration because, technically, they will all have exposure to the weekend. The thing is, other expirations just don't work as well as the Monday one does. Monday is best because it has the highest ratio of weekend/non-weekend days that it is exposed to, but the mispricing will affect all options.

It's similar to how choosing expirations works with the earnings strategy. We want to isolate the event as much as possible since the event is the source of our edge. That is why we trade short-dated expirations, enter at market close, and exit the next morning. This is very similar, except the "event" we are looking to isolate is the weekend.

How to Structure Trades For This Strategy

Main Trade We Place

Our fundamental trade structure for this strategy is an at-the-money straddle. This gives us the cleanest exposure to trading the difference between the implied and realized volatility that occurs over the weekend.



Strike selection: Closest to the current underlying share price. For example, if the stock price is currently \$99.95, we would trade the 100 strike straddle.

What if the underlying share price falls exactly between two strikes? Which should I pick?

In this case, look to trade a narrow strangle where you use the available strikes on each side of the stock price. For example, if you are looking to place a trade and the current stock price is \$99.50, look to trade the 99 strike put and 100 strike call. It is better to be balanced than to be on the exact same strike for the call and the put, so this would be the optimal way to address a situation like this.

Hedging Your Downside Risk

At the end of the day, hedging your downside risk eats into your edge. We are getting paid for holding risks that others want to avoid. That is fundamentally why this strategy makes money.

That said, it can still be reasonable to hedge your risk so long as you consider it correctly.

If your objective is to cap losses from regular price movements, then the cost of buying a hedge likely outweighs the benefits.

If you want to protect against catastrophic losses, wings can be useful.

See the difference?

In the first case, the trader is attempting to create a “good risk-reward” scenario for themselves. This almost always leads to completely destroying one’s edge. But if you choose to buy, say, a delta 3 put to hedge the risk of a catastrophic loss, then it can be worth the cost to sleep better at night.

Hedging Option #1 - Buy a deep OTM put.

If you would like to buy a hedge, then it makes sense to buy a deep OTM put—something between delta 1 and delta 5. This is very far out of the money and should only cost you a small percentage of the premium you collected from selling the at-the-money strikes. Aim for your cost to be just 1-2% of your collected premium.

Hedging Option #2 - Iron Butterfly (call and put hedges in place).

If you choose to do this, once again, you should be going very far out-of-the-money. Both the call and the put should be between delta 1-5, and you should not pay more than 2-4% of the premium you collected for this protection.

Always remember: this is a *disaster hedge*. It is only meant to protect you in the worst-case scenarios, such as “Black Swan” events.

1. Should you hold to expiration?

No. The edge comes from the weekend. Once the weekend is over and the market opens, the edge is gone—close the trade.

2. What strategy pairs well with the weekend trade?

The weekend trade pairs well with weekly strangles because they don’t overlap.

Example: Manage a weekly strangle expiring Friday. After it expires, open a weekend straddle for Monday, close it at market open, then re-enter a weekly strangle.

3. When do you typically close the weekend trade?

I usually close within the first 1-5 minutes of market open to capture maximum weekend implied volatility (IV) exposure.

How to Execute This Strategy

The cycle for running this strategy is as follows:

- 1) Wait until Friday, 15 minutes before close: Check VIX levels. If $VIX > 40$, we won't be placing a trade today.
- 2) If all is good, then we move forward with preparing our trades.
- 3) For each of the tickers you will be trading, structure a short straddle trade that expires on the following Monday.
 - a) Start with a combination SPY, QQQ, IWM, GLD, USO.
 - b) Size each of the trades so that the max loss on each position is similar.
 - c) If you are going to include a hedge, add your deep OTM put to each of the straddles.
- 4) At 3:55PM EST, 5 minutes before market close, get filled on each of your positions. It is important that everything is filled close to the end of the day.
- 5) Sign off, enjoy your weekend, come back Monday morning.
- 6) Regardless of the trade outcome, aim to exit these positions by 9:35AM EST, the first 5 minutes after the market opens. It may take a minute for bid ask spreads to stabilize so you can get a good fill, so do not panic.
- 7) Wait until next Friday to repeat the process.

That's it!

How to Manage Trades For This Strategy

Alright, so at this point you are ready to start actively running the strategy. You want to make sure you are doing things right. So you ask yourself – how do I actually manage this strategy? Are there any rules when it comes to deciding to take a trade or position sizing that I should be following?

In this section we are going to talk about these two things.

#1: When do we *not* take a trade?

In this strategy we do not use stop losses. Rather, we simply measure the degree of panic in the market to determine if conditions are stable enough to run the strategy. We are looking to avoid times when market conditions are extreme. We do this by looking at the **VIX Level**: We do not place trades if VIX is above 40.

This high threshold helps me distinguish between short-term uncertainty and real market panic. Just because there is a 1.5% drop in SPY doesn't mean we stop running the strategy. This happens, and we need to trade through it. We are using this filter to avoid real catastrophes.

To see the impact of using a filter like this, refer back to the research section to see how implementing the $VIX > 40$ filter impacted drawdowns and performance (it significantly improved it).

#2: How do we size trades?

Position sizing can be tricky because the predictors about which individual trades are going to be “good” are weak. For this reason, we opt for a methodology that results in more consistent position sizing over time and across tickers. There are several different methods you could use to do this effectively, such as:

- Fixed premium amount or percentage of account.
- Targeting consistent profit across trades by estimating IV drop and vega exposure.
- Estimating worst-case outcomes to avoid excessive drawdowns.

For the purposes of this strategy document, we are going to focus on one of these methods, which is sizing trades based on worst-case outcomes.

Let's say that we are looking at SPY, QQQ, and IWM. I may opt to sell 1% of my portfolio in premium collected for each, and buy deep OTM puts as a hedge, costing ~2% of the premium. Using SPY as an example on January 14, 2025, the SPY 607/608 strangle (spot price was in between) would be sold for \$2.17 in premium. For \$0.06 we can get a 2 delta put and call at 598 / 615 respectively, so max loss is 7, about 3.5x premium (incl hedge).

SPY • PUT/CALLS (Side by Side) ▶

607.90 -1.85 (-0.30%)

JAN 24 '25
0 DAYS

JAN 27 '25
3 DAYS

JAN 28 '25
4 DAYS

JAN 29 '25
5 DAYS

MORE ▼

TABBED VIEW

PUT/CALL ▼

ALL STRIKES

SMART ▼

SPY • 100

ATM IV: 6.0%

CALLS										PUTS										ATM IV: 6.0%
VOLUME	BID SIZE	BID	ASK	ASK SIZE	IMPLIED VOL. %	DELTA	STRIKE	VOLUME	BID SIZE	BID	ASK	ASK SIZE	IMPLIED VOL. %	DELTA						
17	162	+ 11.05	12.35	78	7.5%	0.985	596	1.92K	5,238	0.02	0.03	83,948	10.1%	-0.015						
37	286	+ 10.85	11.57	10	8.2%	0.982	597	2.84K	305	0.03	0.04	117,915	9.4%	-0.018						
90	330	+ 9.85	10.19	67	8.1%	0.978	598	4.39K	12,103	0.03	0.04	64,928	8.7%	-0.022						
223	217	+ 8.87	9.21	53	7.1%	0.970	599	11.1K	316	0.05	0.06	99,911	8.5%	-0.030						
414	217	+ 7.90	8.10	1	7.7%	0.958	600	29.5K	249	0.07	0.08	69,127	8.1%	-0.041						
371	230	+ 6.94	7.07	175	7.5%	0.941	601	6.37K	29	0.10	0.11	66,821	7.7%	-0.058						
217	274	+ 5.98	6.11	231	7.3%	0.917	602	11.7K	130	+ 0.14	0.15	47,936	7.5%	-0.083						
486	533	+ 5.05	5.16	511	7.1%	0.882	603	28.1K	1,134	+ 0.20	0.21	13,621	7.3%	-0.117						
693	685	+ 4.16	4.25	517	6.8%	0.836	604	25.5K	155	+ 0.30	0.31	10,845	7%	-0.164						
4.25K	831	+ 3.33	3.39	655	6.5%	0.771	605	38.1K	167	+ 0.44	0.45	4,012	6.6%	-0.229						
6.51K	110	+ 2.54	2.59	683	6.3%	0.688	606	36.7K	294	+ 0.64	0.65	719	6.4%	-0.313						
43.2K	3,016	+ 1.83	1.85	20	6.1%	0.585	607	79.4K	7	+ 0.93	0.94	849	6.2%	-0.416						
76.6K	7	+ 1.24	1.25	95	5.9%	0.465	608	80.1K	774	+ 1.31	1.33	25	5.9%	-0.536						
84.6K	3,032	+ 0.76	0.77	102	5.7%	0.341	609	89.7K	566	+ 1.82	1.87	1,045	5.8%	-0.661						
141K	9	+ 0.43	0.44	663	5.5%	0.224	610	52.7K	3	+ 2.50	2.56	1,347	5.6%	-0.778						
60.5K	25,362	+ 0.21	0.22	253	5.4%	0.130	611	10.5K	484	+ 3.27	3.36	870	5.4%	-0.873						
48.3K	45,541	+ 0.09	0.10	235	5.2%	0.067	612	2.49K	231	+ 4.13	4.26	283	5.2%	-0.938						
33.4K	19,599	+ 0.04	0.05	32,975	5.1%	0.035	613	616	247	+ 4.69	5.27	1	5.2%	-0.971						
41.2K	5,706	+ 0.02	0.03	101,908	5.6%	0.022	614	303	497	+ 5.59	7.00	331	5.3%	-0.984						
23.5K	12,906	+ 0.01	0.02	95,023	5.9%	0.016	615	379	472	+ 6.91	7.40	262	6.8%	-0.990						

ON Strategy Builder

Strategies ▼

ACTN	RT	1ST TRD DAY	STRIKE	TYPE	THETA	BID/ASK	SIZE	VEGA
Leg 1	Sell	1 JAN 27 '25	607	Put	-0.231	0.93x0.94	7x849	0.219
Leg 2	Sell	1 JAN 27 '25	608	Call	-0.240	1.24x1.25	7x95	0.220
Leg 3	Buy	1 JAN 27 '25	598	Put	-0.031	0.03x0.04	12,103x64,928	0.036
Leg 4	Buy	1 JAN 27 '25	615	Call	-0.016	0.01x0.02	12,906x95,023	0.031
Total					0.424	-2.15x-2.11	95x1	-0.372

Clear All Legs

PROFILE

Add to Watchlists

-2.15

-2.11

BID MID ASK

Order

LMT QTY

1 LMT PRC

DAY

advanced

Margin Impact: 1,291 CAD

Submit Order

As in the example, the trade is set up to give me the following “worst case” scenario:

- Max potential loss: 3.5x the premium (i.e., 3.5%% of the portfolio).
- Total worst-case loss across all trades: 10.5% of the portfolio.

Now of course you can play with these numbers. For example, some traders will size at 0.5% per trade. There’s no hard rule on this, they are just the general guidelines for how to size trades to generate returns with controlled risk.

Conclusion

We have now covered everything you need to know to get out there and start running this strategy.

1. Why this strategy makes money
2. Backtests and strategy return profile
3. How to find, structure, execute, and manage trades

This is a great strategy to include in your portfolio because a) it has positive expected value and b) it allows us to make use of our margin over the weekend (when we typically have more margin available since there are no earnings, etc.) and c) it is very hands-off to manage.

So, all that is left to do now is get out there and start trading it!

Good luck, and check in with me when you get things going – Let's compare results and make sure we are running things smoothly!

Happy trading,

Sean